6-3b Last-In, First-Out Method

When the LIFO method is used, the cost of the units sold is the cost of the most recent purchases. The LIFO method was originally used in those rare cases where the units sold were taken from the most recently purchased units. However, for tax purposes, LIFO is now widely used even when it does not represent the physical flow of units. The tax impact of LIFO is discussed later in this chapter.

To illustrate, Exhibit 4 shows the use of LIFO under a perpetual inventory system for **Item 127B**.

Exhibit 4

Entries and Perpetual Inventory Account (LIFO)

Jan. 4	Accounts Receivable	21,000	
	Sales		21,000
4	Cost of Goods Sold	14,000	
	Inventory		14,000
10	Inventory	11,200	
	Accounts Payable		11,200
22	Accounts Receivable	10,800	
	Sales		10,800
22	Cost of Goods Sold	8,064	
	Inventory		8,064
28	Accounts Receivable	7,200	
	Sales		7,200
28	Cost of Goods Sold	5,136	
	Inventory		5,136
30	Inventory	13,980	
	Accounts Payable		13,980

Item 127B

	Purchases			Cost of Goods Sold			Inventory		
Date	Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost
Jan. 1							1,000	20.00	20,000
4				700	20.00	14,000	300	20.00	6,000
10	500	22.40	11,200				300	20.00	6,000
							500	22.40	11,200
22				360	22.40	8,064	300	20.00	6,000
							140	22.40	3,136
28				140	22.40	3,136	200	20.00	4,000
				100	20.00	2,000			
30	600	23.30	13,980				200	20.00	4,000
							600	23.30	13,980
31	Balances					27,200			17,980

Cost of goods sold

January 31 inventory

The journal entries and the subsidiary inventory ledger for Item 127B are shown in Exhibit 4 as follows:

1. The beginning balance on January 1 is $20,000 (1,000 units at a unit of cost of $20.00).

2. On January 4, 700 units were sold at a price of $30 each for sales of $21,000 (700 units at a selling price of $30 per unit). The cost of goods sold is $14,000 (700 units at a unit cost of $20). After the sale, there remains $6,000 of inventory (300 units at a unit cost of $20).

3. On January 10, $11,200 is purchased (500 units at a unit cost of $22.40). After the purchase, the inventory is reported on two lines, $6,000 (300 units at a unit cost of $20.00) from the beginning inventory and $11,200 (500 units at a unit cost of $22.40) from the January 10 purchase.

4. On January 22, 360 units are sold at a price of $30 each for sales of $10,800 (360 units at a selling price of $30 per unit). Using LIFO, the cost of goods sold is $8,064 (360 units at unit cost of $22.40) from the January 10 purchase. After the sale, there remains $9,136 of inventory consisting of $6,000 (300 units at a unit cost of $20.00) from the beginning inventory and $3,136 (140 units at a unit cost of $22.40) from the January 10 purchase.

5. The January 28 sale and January 30 purchase are recorded in a similar manner.

6. The cost of goods sold for January of $27,200 is determined by adding the cost of the items sold in the Cost of Goods Sold column.

7. The ending balance on January 31 is $17,980. This balance is made up of two layers of inventory as follows:

	Date of Purchase	Quantity	Unit Cost	Total Cost
Layer 1:	Beg. inv. (Jan. 1)	200	$20.00	$ 4,000
Layer 2:	Jan. 30	600	23.30	13,980
Total		800		$17,980

When the LIFO method is used, the subsidiary inventory ledger is sometimes maintained in units only. The units are converted to dollars when the financial statements are prepared at the end of the period.

Check up Corner 6-1

Perpetual Inventory: FIFO and LIFO Methods

The beginning inventory, purchases, and sales of Item QX3 for the month of January are as follows:

Jan.	1	Inventory	40 units at $5
	9	Sale	30 units
	18	Purchase	70 units at $7
	22	Sale	36 units

The company uses the perpetual inventory system. Determine (1) the cost of goods sold for January and (2) the January 31 inventory balance using the:

a. first-in, first-out (FIFO) method.

b. last-in, first-out (LIFO) method.

International Connection

International Financial Reporting Standards (IFRS)

IFRS permit the first-in, first-out and weighted average cost methods but prohibit the last-in, first-out (LIFO) method for determining inventory costs. Since LIFO is used in the United States, adoption of IFRS could have a significant impact on many U.S. companies. One estimate is that the elimination of LIFO would increase net income of U.S. companies by over $250 billion and raise approximately $76 billion in taxes.